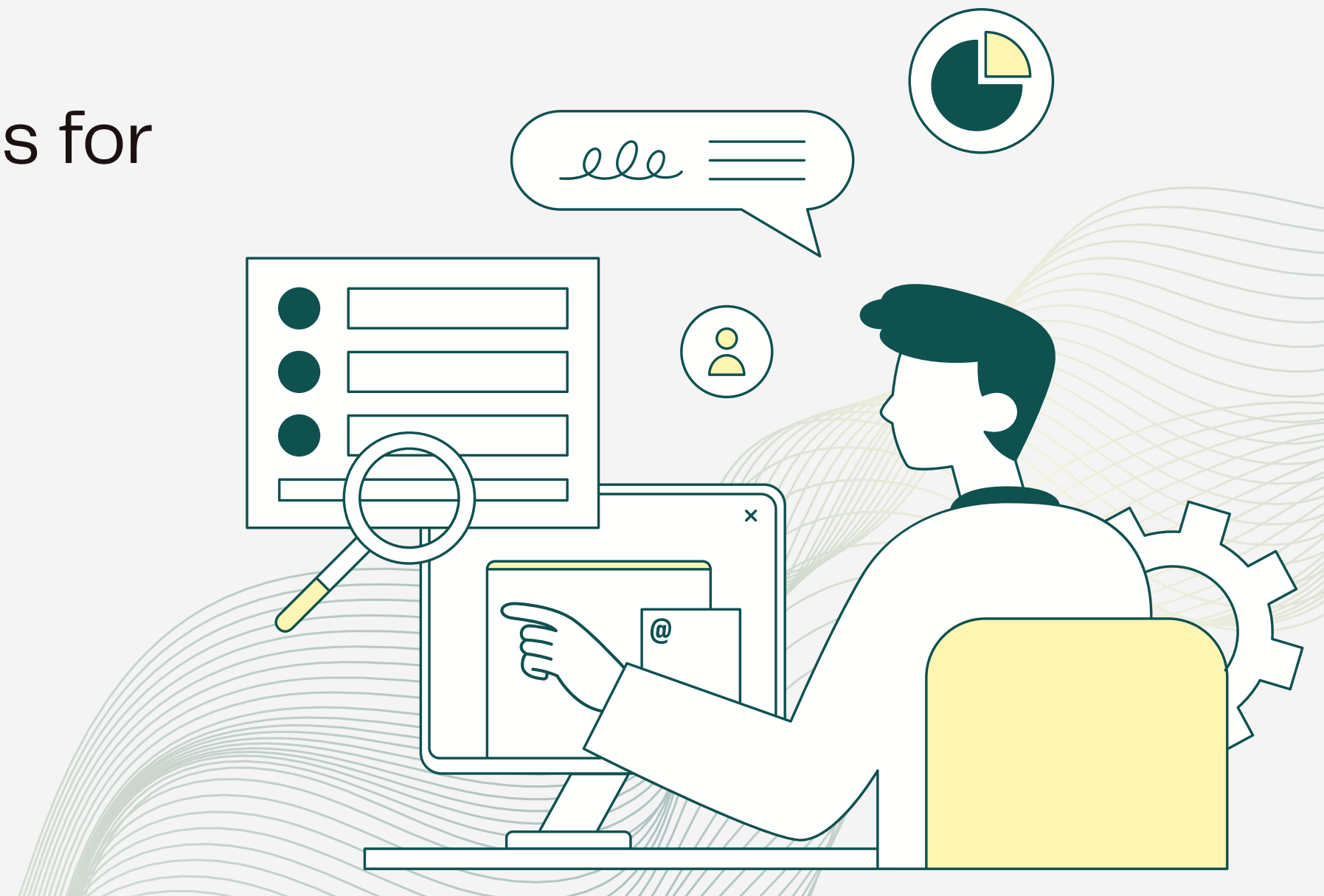

ToyJoy Inventory Optimization

Aligning demand, supply, and operations for the year ahead

01/12



Key Performance Indicators

Strategic inventory optimization across 5 product categories and 9,221 transactions reveals a ₹675K+ annual value opportunity addressable within 90 days.

₹4.23M

Total Revenue

427K

Units in
Inventory

4.65%

Stockout Rate

₹675K

Opportunity
Value

Problems and Business Goal



Optimize inventory allocation to maximize capital efficiency



Maintain product availability while reducing holding costs



Align replenishment strategy with demand patterns

Current Problem

- ₹2.0M locked in excess inventory
- Frequent stockouts impacting sales
- Reactive inventory management
- Inefficient stock allocation
- Poor seasonal demand planning

Revenue & Product Performance

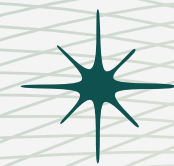
Top Revenue-Generating Products



Tycoon Strategy Game
consistent demand, ₹600K+ annual revenue



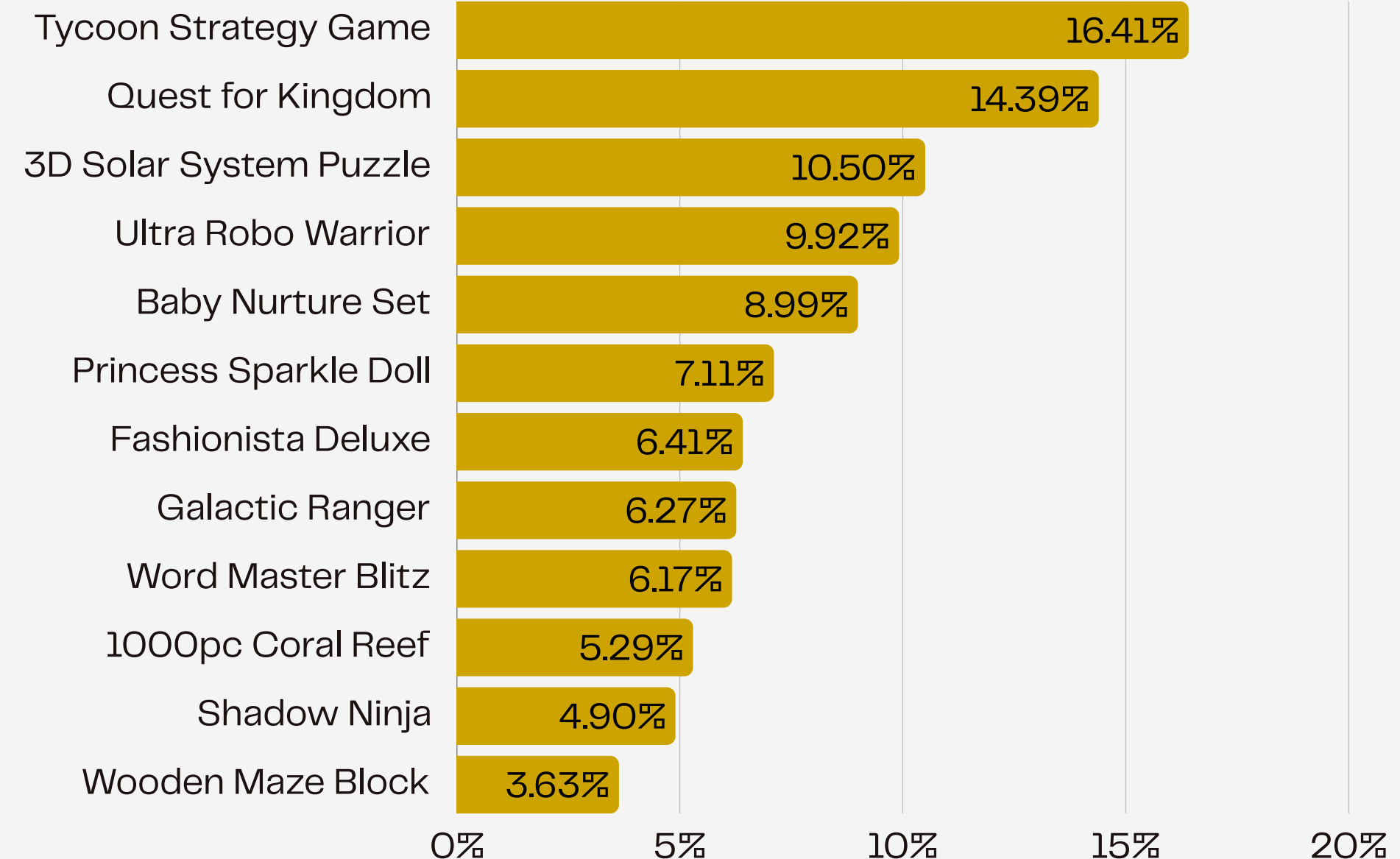
Quest for Kingdom
Seasonal peaks, Board Games category anchor



3D Solar System Puzzle
stable, price-sensitive demand

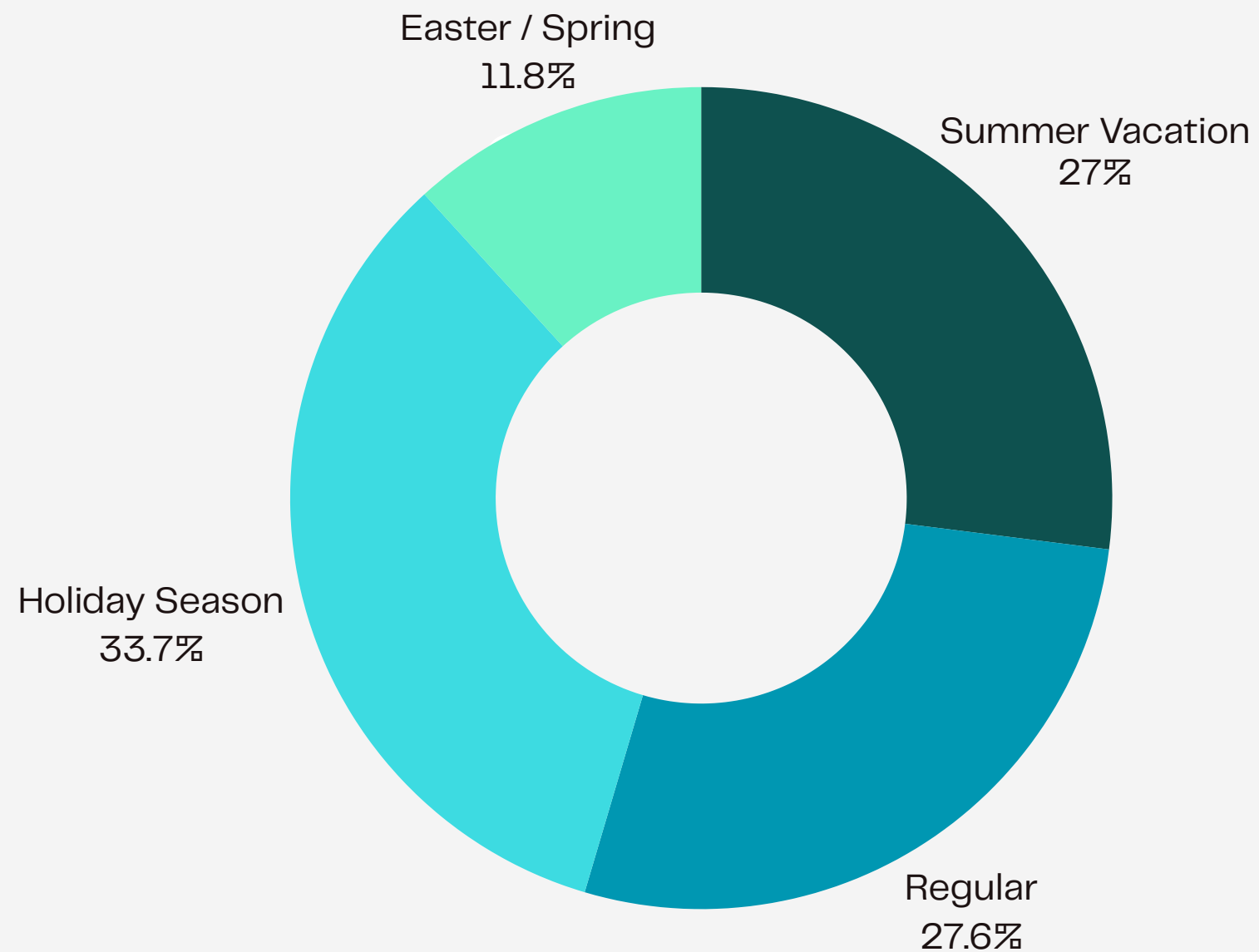


Ultra Robo Warrior
high velocity, stockout risk



Top 5 products represent 35–40% of total revenue. Hero products require priority inventory allocation and differentiated safety stock strategies.

Seasonality Analysis



Seasonal Demand Patterns

Holiday Season

Peak demand — 35–40% of annual revenue. Maximum safety stock required.

Regular

Secondary peak — 25–30% of annual revenue.

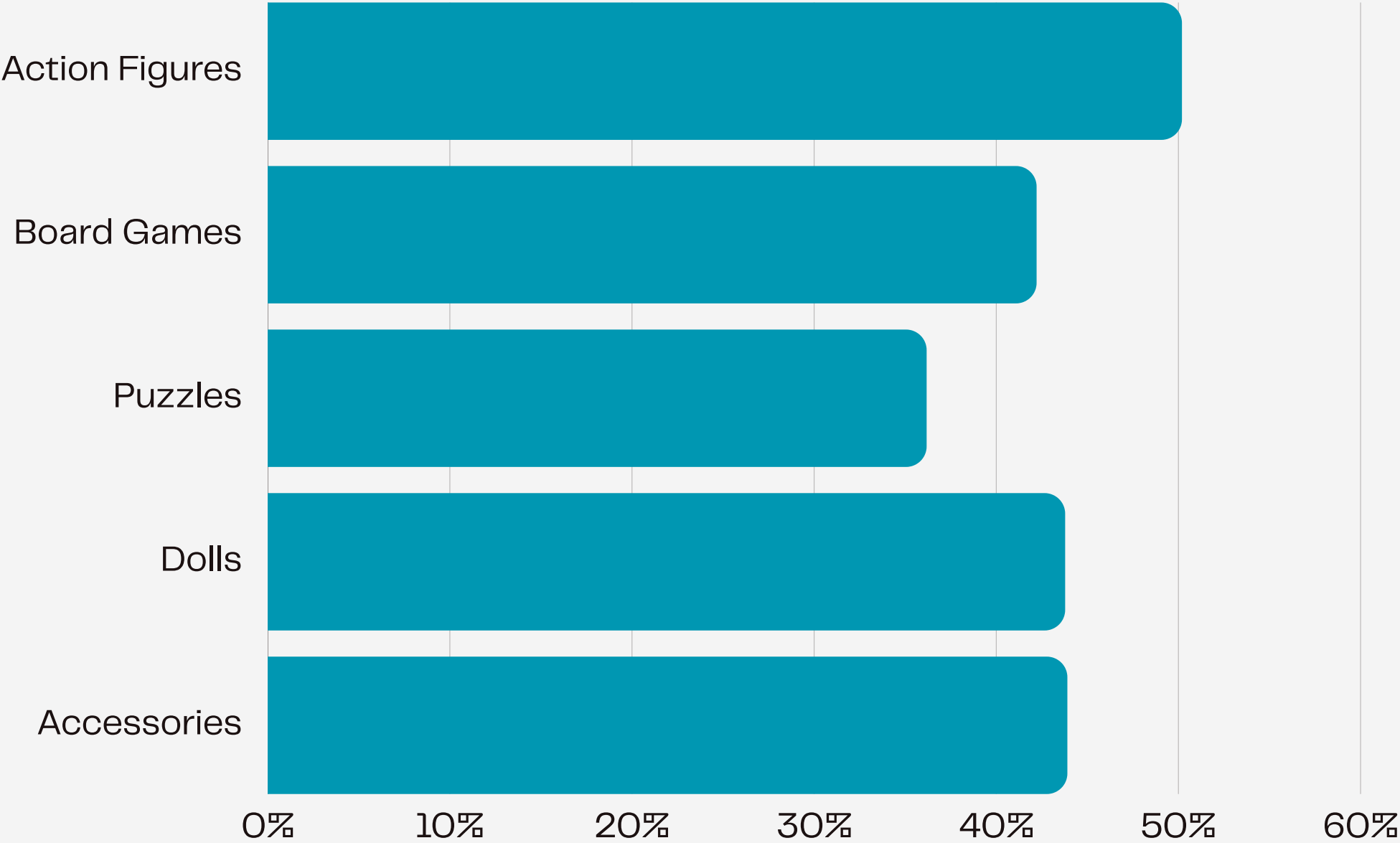
Summer Vacation

Moderate demand — 15–20% of annual revenue. Outdoor and activity toys surge.

Easter

Baseline demand — Least of annual revenue. Clearance opportunity.

Category Performance Analysis



CATEGORY	TURNOVER	ACTION
Action Figures	50.19%	Increase allocation
Accessories	43.90%	Seasonal forecasting
Dolls	43.78%	Demand-based reorder
Board Games	12.21%	SKU rationalization
Puzzles	36.18%	Bundle & rationalize

Business Insight: Reallocating 15% of inventory from low-turnover Puzzles to high-turnover Action Figures can increase overall inventory efficiency by 10%.

Stockout Analysis

Products with Frequent Stockouts

Ultra Robo Warrior

High demand — insufficient safety stock

Quest for Kingdom

Seasonal demand underestimated

Princess Sparkle Doll

Trend-driven demand spikes

Shadow Ninja

Reorder lead time misalignment

Galactic Ranger

Demand volatility unaccounted for

Revenue Impact of 4.65% Stockout Rate

₹200K

Lost Revenue

Estimated annual stockout impact

₹100K

Recovery Potential

From 50% stockout reduction

Business Insight: Reducing stockouts by 50% can recover ₹100K+ in annual revenue while improving customer satisfaction — a highROI, low-cost intervention.

Inventory Health Analysis

Top Overstock Products

Impact Assessment :

- Holding Costs

- Warehouse Efficiency

- Capital Lock-Up

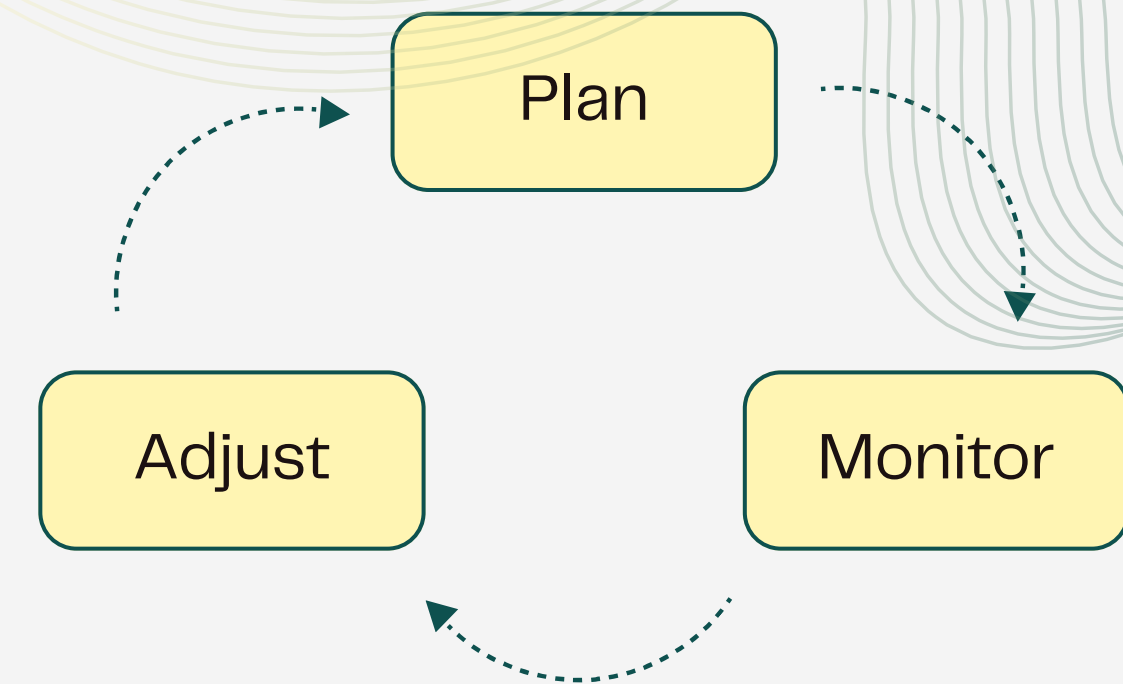
PRODUCT	ISSUE
1000pc Coral Reef Puzzle	Capital blocked — ₹150K+
Wooden Maze Block	Slow-moving accumulation
Seasonal demand mismatch	500-1500
Baby Nurture Set	Over-purchasing vs. stable demand

Business Insight: Overstock reduction can free up ₹500K+ in working capital while reducing operational holding costs by 15-20% — the single largest near-term lever.

Key Findings Summary

✦ Critical Metrics

✦ Highest Revenue Product	Tycoon Strategy Game — ₹600K+
✦ Top Performing Category	Action Figures — 52% turnover
✦ Largest Overstock Issue	1000pc Coral Reef — ₹150K+
✦ Highest Stockout Category	Action Figures — ₹100K+ lost
✦ Lowest Performing Category	Puzzles — 36% turnover
✦ Overall Inventory Turnover	42.68% vs. 50–60% benchmark

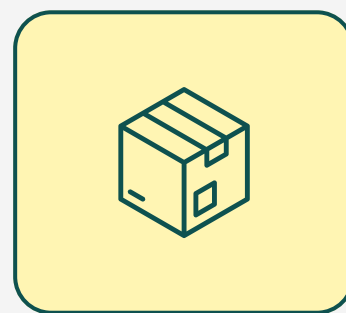


Data-driven inventory optimization represents a ₹675K+ annual value opportunity — achievable within a 90-day implementation timeline with existing resources and no capital expenditure.

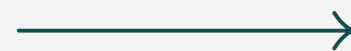
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Inventory Planning Implications

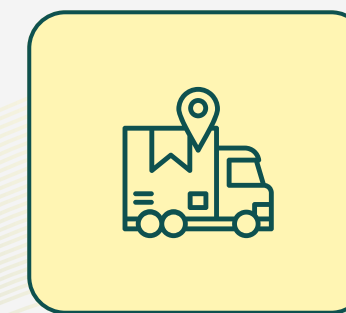
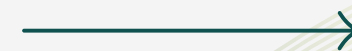
- ✓ Increase safety stock levels 60–80% before peak seasons
- ✓ Structured off-season markdown plan to reduce holding costs
- ✓ Lead times must align with seasonal demand forecasts — 8–12 weeks ahead
- ✓ Working capital planning must account for seasonal inventory build cycles



Supplier



Warehouse



Distribution

Inventory Diagnostics & Action Matrix

PRIORITY	ISSUE	RECOMMENDATION	TIMELINE
Critical	Overstock— 1000pc Coral Reef	Reduce POs by 30%, implement promotional clearance	0–30 days
Critical	Stockout — Action Figures	Increase reorder qty by 25%, reduce lead time buffer	0–30 days
High	High Demand — Tycoon Strategy Game	Increase safety stock by 40%, prioritize supplier allocation	30–60 days
High	Seasonal Mismatch — Board Games	Implement seasonal forecasting, adjust reorder points quarterly	30–60 days
Medium	Slow Sales — Puzzles	Bundle with hero products, implement cross-sell strategy	60–90 days
Medium	SKU Proliferation — Board Games	Rationalize SKU count, focus on top 3 performers	60–90 days

Thank You
